Diageo plc (LSE: DGE)

Rating: HOLD | Fair value 1,524p | Share price 1,673p (12 Oct 2026) | Upside -8.9%

Rating from the valuation engine (`valuation.json`); no PM override. **The HOLD is fragile: SELL starts at 1,506p, only 18p below our fair value.** Any one of these flips it to SELL: savings flow-through of about 40% (1,505p), new investment returning 10.8% instead of 13.4% (1,460p), or a beta of about 1.0 (above about 0.98; beta 1.00 gives 1,481p).

Thesis

- **The price already assumes the recovery is delivered.** At a WACC of 8.46% the DCF gives 1,524p (USD 20.17), 8.9% below the 1,673p share price. The market is pricing a WACC of about 8.0%.
- **Self-help is the whole profit story.** Organic net sales fell 2.0% in FY26 and North America fell 8.4%. The c.USD 1,000m savings plan drives profit growth, and our 46% flow-through is the low end of management's FY27-29 profit guidance, with no cushion.
- **The balance sheet limits the upside.** Leverage is 3.14x against a 2.5-3.0x target and the dividend has been cut. Disposal proceeds (USD 3,318m gross) had not been received at 30 June 2026.

Valuation

The DCF is in USD m, valued at the 30 June 2026 balance sheet date, rolled forward to 12 Oct 2026 at the cost of equity and converted at USD 1.3234 per GBP.

- **Growth path:** base net sales USD 18,505.5m (excluding EABL); organic growth 0.0%, 1.5%, 2.5%, 3.0%, 3.0% (FY27-31, low end of guidance).
- **Savings flow-through:** 46% of the cumulative savings (USD 377.5m, 962.5m, then 1,000m) reaches operating profit (PM decision, Phase 3).
- **WACC 8.46%:** risk-free 5.22%, beta 0.96 (industry bottom-up), ERP 5.0%, cost of equity 10.02%; pre-tax cost of debt 6.22% (risk-free + 1%); debt weight 29.4%.
- **Terminal:** growth 2.0%; terminal capex 6.21% of sales, set so new investment earns Diageo's FY26 ROIC of 13.4% (PM decision, Phase 3; forecast years stay at 7.11%).

Bridge (USD m): EV 58,448 - net debt 20,482 - minorities 2,083 - restructuring cash 850 + associates 5,284 + disposal proceeds 3,318 = equity 43,636 at 30 June; 44,828 at 12 Oct; 2,222m shares = **1,524p**. Terminal value is 74.9% of EV (just under the 75% flag); implied exit multiple 9.2x FY31 EBITDA. The bear scenario (no growth, 25% flow-through, WACC +1 point) gives 1,076p (-35.7%, SELL).

Comps (indicative only): median P/E 18.5x on four peers implies 2,311p (range 1,334p to 3,163p). Two peers are press-sourced, only Pernod Ricard (10.7x) is on a June year end, and EV/EBITDA is unavailable. We give the comps little weight.

Value per share (p)	g 1.5%	g 2.0%	g 2.5%
WACC 7.46%	1,812	1,904	2,013
WACC 7.96%	1,628	1,698	1,781
WACC 8.46%	1,470	**1,524**	1,588
WACC 8.96%	1,333	1,376	1,424
WACC 9.46%	1,213	1,247	1,285

In every cell, terminal capex is re-derived so new investment earns the 13.4% return.

Change from the previous run (1,448p, SELL): terminal-year fix +27p, terminal capex from ROIC +65p, flow-through 46% -13p, valuing at 30 June +27p, restructuring cash -30p.

Fundamentals

- **Growth has stalled:** organic growth was 6.5% (FY23), -0.6%, 1.7% and -2.0% (FY26). Africa (13.3%) and Latin America & Caribbean (7.7%) grew.
- **Margins compressed:** operating margin before exceptionals fell from 31.1% (FY22) to 28.9% (FY26).
- **Cash improved:** free cash flow rose from USD 2,235m (FY23) to USD 3,211m (FY26), helped by lower capex.
- **Returns fell:** ROIC went from 18.4% (FY23) to 13.4% (FY26); interest cover fell from 13.6x (FY22) to 7.0x (FY26).

Risks

- **Beta:** we use 0.96 (bottom-up). Diageo's own regressions range from 0.60 to 0.77 (best: 0.72, 5y weekly, R-squared 0.15). Beta is the largest lever: 0.72 gives 1,832p (HOLD).
- **Volatility:** 31.6% (1 year) vs 12.5% for the FTSE 100.
- **Drawdown:** maximum -66.8%, from 4,098p (4 Jan 2022) to 1,362p (24 Mar 2026).
- **Leverage:** 3.14x adjusted net borrowings / adjusted EBITDA vs a 2.5-3.0x target.

Bear case and our response

Nine of the eleven single bear changes flip the rating to SELL.

1. **Flow-through: history says most savings are reinvested.** 40% gives 1,505p (SELL by 0.8p); 33% gives 1,482p; 25% gives 1,456p. **Response:** 46% applies the same low-end-of-guidance rule as sales growth; PM to respond on whether the track record (FY23: +15bps margin on GBP 450m of savings) warrants a lower base.

2. **Terminal returns: ROIC fell 5 points in three years.** RONIC 10.8% (capex 7.07%) gives 1,460p (SELL); RONIC equal to WACC gives 1,368p. **Response:** 13.4% is the latest and lowest ROIC in four years, not a recovery assumption; PM to respond if returns keep falling.

3. **No recovery: management missed its 2023-26 targets.** Zero organic growth gives 1,390p (-135p, SELL). **Response:** PM to respond; the growth path is the low end of guidance, which management has not met recently.

4. **Terminal growth 2% vs falling spirits volumes.** 1.5% gives 1,470p (-55p, SELL). **Response:** PM to respond; the IWSR evidence is secondhand.

5. **Cost of capital: leverage after the dividend cut.** A 2.0% credit spread gives 1,456p (-69p); beta 1.00 gives 1,481p (-44p); both SELL. **Response:** 0.96 already sits above every precise own-regression estimate; PM to respond on the credit spread.

Against the bear: beta 0.72 gives 1,832p (+307p), still HOLD; restructuring tax relief adds 7p. Nothing reaches BUY (1,924p).

Sources

- Diageo Form 20-F FY26 (SEC accession 0001628280-26-057529): financial statements, p.18, p.22, p.85, p.110, p.186-189, p.211, regional reviews pp.27-31; 20-F FY22-FY25 (SEC EDGAR XBRL).
- Diageo Capital Markets Day 6-K, 6 Aug 2026 (SEC accession 0001654954-26-007324): savings plan, guidance, restructuring cash.
- Yahoo Finance (DGE.L in pence, FTSE 100, peer prices, KES/USD); FRED (DGS10 2026-10-08, DEXUSUK 2026-10-02).
- Damodaran Online, Betas by Sector (Global), January 2026.
- Non-filing: EABL FY26 results (press and EABL annual report), RCB sale (USL/press), Pernod Ricard, Campari and Remy Cointreau results (press), IWSR (press).
- PM decisions: briefs/DGE.yaml (evidence in docs/phase3/). Agent outputs: runs/DGE/2026-10-12/ (data, risk, fundamentals, valuation, bear).